India includes BSE Limited exchanges and National Stock Exchange India.

Sources: World Development Indicators, World Bank; World Federation of Exchanges; Bloomberg; CEIC. C. Roberts calculations; Last updated June 14, 2016.

Table 2.2 tracks the size and performance of stock markets in the G7 and the BRICS. It shows the stock market capitalization, as a share of the world total, for the G7 countries and the BRICS in three years: 2005, 2010, and 2016. Over the entire period of 2005 to 2016, the G7's share fell by 10 percentage points, from 73 to 63 percent, with most of this loss coming from relative declines in Western Europe and Japan. Meanwhile, the share of the BRICS countries rose from 7 to 22 percent of the global total, constituting a dramatic rise of 15 percentage points, the vast majority of which (11 percentage points) was due to an increase in the value of Chinese exchanges.

China is again the standout in the BRICS group, as its share of global market cap increased since 2010 from 8 to 10 percent, jumping to second place worldwide in 2015. China is now the only other country besides the United States (and Japan a decade ago) to reach double-digit status, despite experiencing considerable volatility. This is a striking development given that China held only a 1 percent share in 2005 and its domestic market is only on the verge of being open to global investors; many experts expect a surge of money to flow in that is now on the sidelines. As of June 2016, as Table 2.2 shows, China has more than 2,800 domestic companies, but no foreign companies listed with Chinese exchanges (excluding 94 in Hong Kong). Similarly, there are fewer than four foreign companies listed in India and Russia, while only Japan among Western countries is so relatively closed to foreign participation. On the other hand, market liquidity and trading volume in China are now higher than in all G7 countries except the United States.

China's quotas system for access by foreign investors and other limits on capital mobility have kept China's A-shares out of major indices,[113] such as the Morgan Stanley Capital International (MSCI) Emerging Markets index, one of the world's most-followed with an estimated $1.5 trillion in capital markets assets worldwide benchmarked to it.[114] The MSCI case is one of the best recent examples of markets demanding reforms from the world's second-largest economy. Over three years, MSCI annually signaled Chinese authorities what roadmap of reforms would be required, and both MSCI and market observers suggest that it is a question of when, not if, China will be admitted. Although China already accounts for 27 percent of the MSCI Emerging Market index via shares of Chinese companies listed elsewhere (mostly in Hong Kong and New York), the eventual upswing after a phase-in process of China's A-shares could be considerable. If China allows reforms that include greater accessibility for investors to move their investments in and out, to repatriate funds, and also removes quotas for onshore investment, its combined onshore and offshore weighting would likely account for more than 40 percent of the MSCI EM index.[115] The 2016 Shenzhen–Hong Kong Stock Connect, with 880 stocks listed, could also dramatically increase foreign exposure to mainland Chinese firms, including the technology, consumer, and healthcare companies that are the leaders of China's privately owned new economy.[116]